

Pearson Edexcel International GCSE

Predicted Paper — Hard Difficulty

Economics — Level 1/2

PAPER 2: Macroeconomics and the Global Economy

Paper reference: 4EC1/02

Time: 1 hour 30 minutes

Total Marks: 80

Candidate surname	Other names
Centre Number	Candidate Number

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- Answer all questions.
- Answer the questions in the spaces provided – there may be more space than you need.
- Calculators may be used.
- You are advised to show all your working out with your answer clearly identified at the end of your solution.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box and mark your new answer with a cross.

1 (a) Which **one** of the following is a possible disadvantage of multinational corporations (MNCs) for a host country? **(1)**

- ☐ **A** Transferring advanced technology
- ☐ **B** Creating new jobs in the host country
- ☐ **C** Moving profits back to the home country
- ☐ **D** Paying taxes to the host government

(b) Which **one** of the following is measured by the Human Development Index (HDI)? **(1)**

- ☐ **A** GNI per capita, education and life expectancy
- ☐ **B** Unemployment, inflation and GDP growth
- ☐ **C** Imports, exports and the balance of payments
- ☐ **D** Crime rate, pollution and political freedom

(c) What is meant by the term **balance of trade**? **(2)**

(d) Describe **one** way a multinational corporation (MNC) can create jobs in a host country. **(2)**

Figure 1 shows selected economic indicators for Nigeria in 2023.

Indicator	Value (2023)
Nominal GDP (US\$bn)	477
Population (millions)	220
Economic growth rate	3.1%
Inflation rate	24.9%
Unemployment rate	33.3%

Figure 1

(e) Using the data in Figure 1, calculate Nigeria's nominal GDP per capita in US\$ in 2023. You are advised to show your working. **(2)**

In 2023, the Nigerian Government removed a price ceiling on petrol. Before removal, the price ceiling was set below the market equilibrium price.

(f) Using the diagram below, draw the effects of the removal of the price ceiling on the equilibrium price and quantity of petrol in Nigeria. Label the new equilibrium price and the new equilibrium quantity. **(3)**

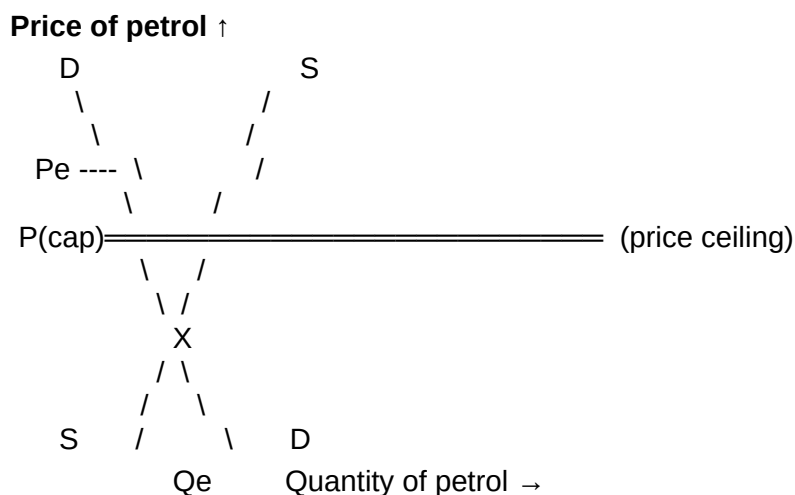


Figure 2

Youth unemployment in Nigeria is particularly high. Over 40% of Nigerians aged 15–34 were unemployed in 2023.

(g) Explain **one** economic cost to a country such as Nigeria of having high youth unemployment. **(3)**

In 2022, Nigeria received over US\$4.5bn in foreign direct investment (FDI). Oil companies, technology firms and telecommunications providers have all invested heavily in the country.

(h) With reference to the data above and your knowledge of economics, analyse the possible impact of foreign direct investment (FDI) on the Nigerian economy. **(6)**

(Total for Question 1 = 20 marks)

2 (a) Which **one** of the following is an example of an indirect tax? (1)

- ☐ A Corporation tax on business profits
- ☐ B Income tax on wages
- ☐ C Value Added Tax (VAT) on goods
- ☐ D Inheritance tax on estates

(b) Which **one** of the following is the best description of frictional unemployment? (1)

- ☐ A Unemployment caused by a fall in aggregate demand
- ☐ B Unemployment between jobs while searching for a new role
- ☐ C Unemployment due to a permanent decline in an industry
- ☐ D Unemployment caused by changes in the seasons

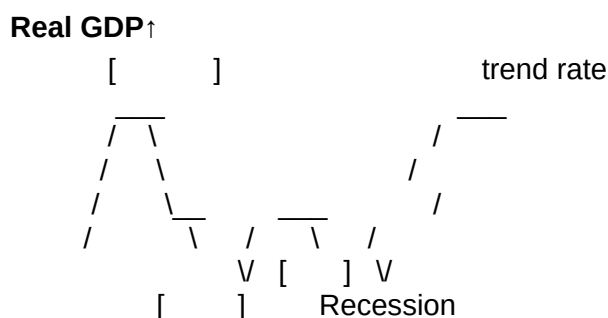
(c) State **one** cause of a government budget deficit. (1)

(d) What is meant by the term **regressive tax**? (2)

In 2024, the UK Government raised the rate of Value Added Tax (VAT) on selected goods from 20% to 22%.

(e) Explain **one** way the increase in VAT is likely to affect UK consumers. (3)

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. (3)



Time →

Figure 3

In 2024, the UK Government increased excise duty on cigarettes by 10% above inflation. Around 13% of UK adults still smoke, despite long-running campaigns to reduce smoking rates. The higher duty aims both to raise tax revenue and to reduce the harm caused by smoking.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the UK of increasing excise duty on cigarettes. **(9)**

(Total for Question 2 = 20 marks)

- 3 (a) Which **one** of the following is an example of a tariff? (1)
- ☐ A A ban on importing a good from a particular country
 - ☐ B A limit on the quantity of a good that can be imported
 - ☐ C A tax placed on goods as they enter a country
 - ☐ D A subsidy paid to domestic exporters

The US dollar appreciates by 10% against the Chinese yuan.

- (b) Which **one** of the following is the most likely impact of the appreciation on US trade with China? (1)
- ☐ A US exports become cheaper for Chinese buyers
 - ☐ B US imports from China become more expensive
 - ☐ C US exports become more expensive for Chinese buyers
 - ☐ D China's trade surplus with the US falls

In 2024, the United States introduced a 25% import tariff on Chinese steel. Before the tariff, steel was imported freely from China.

- (c) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of Chinese steel imported into the US. Label the new curve, the new equilibrium price and the new equilibrium quantity. (3)

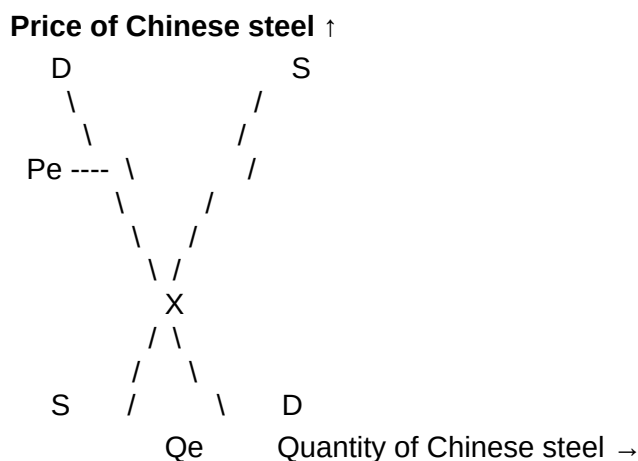


Figure 4

Since 2018, the US has imposed tariffs on more than \$370bn worth of Chinese imports. US steel and aluminium producers have seen their output rise and some new factories have opened.

- (d) With reference to the data above and your knowledge of economics, analyse the possible advantages of tariffs for domestic producers in the US. (6)

The Chinese yuan has depreciated against the US dollar by more than 8% over the past two years. China is the world's largest exporter, selling \$3.6 trillion worth of goods to the rest of the world in 2023.

(e) With reference to the data above and your knowledge of economics, assess the possible impact of a currency depreciation on an economy such as China's. **(9)**

(Total for Question 3 = 20 marks)

4 Figure 5 shows economic indicators for Turkey in 2024.

Economic Indicator	Value (2024)
Nominal interest rate	45%
Rate of inflation	67%

Figure 5

(a) Using the data in Figure 5, calculate Turkey's real interest rate in 2024. You are advised to show your working. **(2)**

In recent years, the Turkish central bank has repeatedly raised interest rates. These rises have not only aimed to bring inflation under control but have also affected the value of the Turkish lira against other currencies.

(b) With reference to the data above and your knowledge of economics, analyse the relationship between interest rates and the exchange rate for a country such as Turkey. **(6)**

With inflation in Turkey reaching 67% in 2024, some economists argue that monetary policy alone is not enough. They suggest that supply-side policies — including investment in education and training, labour market reforms, and infrastructure projects — are needed to control inflation in the long term.

However, supply-side policies take several years to have a full effect.

(c) With reference to the data above and your knowledge of economics, evaluate the possible effectiveness of using supply-side policies to control inflation in a country such as Turkey. **(12)**

(Total for Question 4 = 20 marks)

TOTAL FOR PAPER = 80 MARKS